GRADE 10 CBE NOTES
BUSINESS STUDIES

SOCIAL SCIENCES PATHWAY

THIS PDF COMPRISES OF PART OF THE NOTES OF THE NAMED LEARNING AREA

FOR COMPLETE GRADE 10 NOTES:

CONTACT

LIST OF LEARNING AREAS AT SENIOR SCHOOL

Compulsory Subjects	Science, Technology, Engineering & Mathematics (STEM)	Social Sciences	Arts & Sports Science
1. English 2. Kiswahili/KSL 3. Community Service Learning 4. Physical Education *NB: ICT skills will be offered to all students to facilitate learning and enjoyment*	5. Mathematics/Advanced Mathematics 6. Biology 7. Chemistry 8. Physics 9. General Science 10. Agriculture 11. Computer Studies 12. Home Science 13. Drawing and Design 14. Aviation Technology 15. Building and Construction 16. Electrical Technology 17. Metal Technology 18. Power Mechanics 19. Wood Technology 20. Media Technology* 21. Marine and Fisheries Technology*	22. Advanced English 23. Literature in English 24. Indigenous Language 25. Kiswahili Kipevu/Kenya Sign Language 26. Fasihi ya Kiswahili 27. Sign Language 28. Arabic 29. French 30. German 31. Mandarin Chinese 32. History and Citizenship 33. Geography 34. Christian Religious Education/ Islamic Religious Education/Hindu Religious Education 35. Business Studies	36. Sports and Recreation 37. Physical Education (C) 38. Music and Dance 39. Theatre and Film 40. Fine Arts

BUSINESS STUDIES GRADE 10 SENIOR SCHOOLS CONPLETE NOTES {SOCIAL SCIENCE}

COMPETENCE BASED EDUCATION

SUMMARY OF STRANDS, SUB STRANDS

STRAND 1.0: BUSINESS AND MONEY MANAGEMENT

This strand introduces you to the fundamental concepts of business and money management, focusing on the role of money in facilitating economic activities and the importance of ethical practices in its use.

Sub-Strand 1.1: Money

(a) Identifying the Key Features of the Kenyan Currency

The Kenyan Shilling (KES) is the official currency of Kenya. Understanding its features is crucial for recognizing its authenticity and preventing counterfeiting.

Key Features of the Kenyan Currency (Banknotes and Coins):

- **Denominations:**
- **Banknotes:** Currently, Kenya has banknotes in the denominations of 50, 100, 200, 500, and 1000 shillings.
- **Coins:** The circulating coins are in denominations of 1, 5, 10, 20, and 40 shillings. (Note: Older, lower denomination coins may still exist but are less common).
- **Security Features (Banknotes):** These are designed to prevent forgery and ensure the authenticity of the currency. They can vary slightly between denominations but generally include:

- ***Key security features of the Kenyan Currency***

LOOK/TAZAMA

Hold up to the light and from both sides you will see:

4 The watermark of a perfect lion's head, the text CBK and the value of the banknote

5 The security thread appears as a continuous line

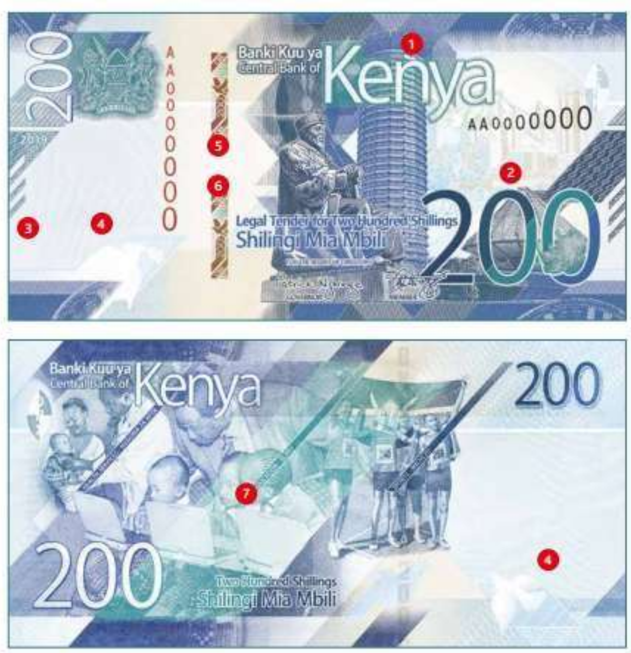
TILT/PINDUA

If you tilt at an angle you will see:

6 The security thread changes colour from red to green on all banknotes. The 200, 500 and 1000 banknotes have additional rainbow colours on the thread

7 The golden band on the back of the note shows the value

These features are similar in KES 50 and KES 100



These features are similar in KES 200, KES 500 and KES 1000

FIFTY SHILLINGS
SHILINGI HAMSINI

THEME: GREEN ENERGY

Wind Power - Geothermal Power - Solar Power

Kenya is endowed with enormous potential and resources for production of clean energy. One of the biggest wind farms in Africa is located in Kenya at Loyangalani. Geothermal electricity production at Olkaria has made Kenya a global leader in green energy production. Kenya strives for a cleaner world.

Big Five
Buffalo
Nyati

ONE HUNDRED SHILLINGS
SHILINGI MIA MOJA

THEME: AGRICULTURE

Maize - Tea - Livestock

Kenya has continued to demonstrate its strength in the agricultural sector. Our economy is largely driven by agriculture and it is a source of livelihood for a majority of Kenyans. Tea, coffee, horticulture and other crops are synonymous to Kenya. Livestock rearing also is a bedrock in the culture of many Kenyans.

Big Five
Leopard
Chui

TWO HUNDRED SHILLINGS
SHILINGI MIA MBILI

THEME: SOCIAL SERVICES

Medical Services - Education - Athletics

The social fabric of Kenya is quite diverse and unique. Our athletes have kept Kenya on the world map since independence. As a nation, the country has made notable efforts in improving the health of its citizens especially children. Our education system has produced some of the best scholars globally.

Big Five
Rhino
Kifaru

- **Watermark:** A translucent image visible when held against the light (often a portrait of a Kenyan leader or a national symbol).
- **Security Thread:** A visible or embedded thread running through the banknote. It may have text or change color under UV light.
- **See-through Register:** Parts of a design printed on both the front and back of the banknote that align perfectly when held against the light to form a complete image.
- **Tactile Marks:** Raised print that can be felt, aiding visually impaired individuals to identify denominations.
- **Fluorescent Ink:** Inks that glow under ultraviolet (UV) light.
- **Microprinting:** Very small text that is difficult to reproduce accurately.
- **Holographic Stripe/Patch:** A shiny, reflective stripe or patch that displays different images or colors when tilted.
- **Serial Numbers:** Unique numbers printed on each banknote.
- **Themes and Designs:** The current series of Kenyan currency notes and coins feature portraits of Kenya's first three presidents (Jomo Kenyatta, Daniel arap Moi, and Mwai Kibaki) and national symbols. The new generation banknotes,

released in 2019, feature iconic Kenyan landmarks and wildlife, promoting Kenya's cultural and natural heritage.
- **Material:** Banknotes are typically made of special paper with a high cotton content for durability. Coins are made of various metal alloys.
- **Issuing Authority:** The Central Bank of Kenya (CBK) is the sole authority responsible for issuing and managing the Kenyan currency.

(b) Describing the Functions of Money When Carrying Out Financial Transactions

Money plays a crucial role in facilitating the exchange of goods and services in an economy. Its key functions are:

- **Medium of Exchange:** This is the primary function of money. It is widely accepted as a means of payment for goods and services, eliminating the need for a direct barter system, which can be inefficient and time-consuming. Instead of trading goods for other goods, people exchange goods or services for money, which they can then use to purchase what they need.
  - ✓ **Example:** A farmer sells their maize for money and then uses that money to buy clothes.
- **Store of Value:** Money allows individuals to hold wealth over time. Ideally, money should retain its purchasing power, meaning that the amount of goods and services it can buy should remain relatively stable. However, inflation can erode the store of value function of money.
  - ✓ **Example:** Instead of storing perishable goods, a person can store their wealth in the form of money for future use.
- **Unit of Account (Measure of Value):** Money provides a common way to measure the value of goods and services. It acts as a standard unit for quoting prices and recording debts. This makes it easier to compare the relative worth of different items and to conduct accounting.
  - ✓ **Example:** A loaf of bread costs Ksh. 50, and a liter of milk costs Ksh. 100. Money provides a common unit (shillings) to understand their relative values.
- **Standard of Deferred Payment:** Money is used as a standard for making payments in the future, such as loans, mortgages, and credit purchases. It allows individuals and businesses to borrow and lend with the understanding that the debt will be repaid in a commonly accepted form of money.
  - ✓ **Example:** Taking out a bank loan with the agreement to repay a specific amount of money over a set period.

(c) Justifying the Demand for Money for Achieving Economic Development

The demand for money is the desire and ability of individuals, businesses, and the government to hold money. It is crucial for economic development in several ways:

- **Facilitates Transactions and Trade:** As a medium of exchange, money lubricates the wheels of commerce. It simplifies transactions, allowing businesses to operate efficiently, specialize in production, and engage in wider trade, which are all drivers of economic growth.
- **Enables Investment and Capital Formation:** Money allows for savings and the accumulation of capital. Businesses need money to invest in machinery, technology, and infrastructure, which lead to increased productivity and economic expansion. Individuals save money for future investments or to start businesses.
- **Promotes Specialization and Division of Labor:** With money, individuals can specialize in tasks they are good at and exchange their output for money, which they then use to obtain other goods and services. This leads to increased efficiency and overall economic output.
- **Supports Financial Markets:** The demand for money creates the foundation for the development of financial markets (e.g., banks, stock markets). These markets channel savings into productive investments, fostering economic growth.
- **Facilitates Government Functions:** Governments need money to finance public services such as education, healthcare, infrastructure, and security. Taxes, which are paid in money, enable the government to play its role in economic development.
- **Measures Economic Activity:** Money serves as a unit of account, allowing for the measurement of economic variables like GDP, inflation, and income. This information is essential for policymakers to make informed decisions that promote economic development.
- **Reduces Transaction Costs:** Compared to barter, using money significantly reduces the time and effort involved in finding suitable trading partners and agreeing on exchange rates. Lower transaction costs encourage more economic activity.

(d) Examining the Factors that Determine the Supply of Money in an Economy

The supply of money refers to the total amount of money circulating in an economy at a given time. Several factors influence the supply of money:

- ✓ **Actions of the Central Bank:** The Central Bank of Kenya (CBK) is the primary regulator of the money supply. It uses various tools to control the amount of money in circulation:
    - ➢ **Open Market Operations (OMO):** Buying and selling of government securities (like treasury bills and bonds) by the CBK. Buying securities injects money into the economy, increasing the money supply, while selling securities withdraws money, decreasing the money supply.

- **Reserve Requirements:** The fraction of a bank's deposits that they are legally required to hold in reserve at the Central Bank. Lowering reserve requirements allows banks to lend out more money, increasing the money supply, while raising them reduces lending and the money supply.
- **Discount Rate (Central Bank Rate - CBR):** The interest rate at which commercial banks can borrow money directly from the Central Bank. A lower CBR encourages banks to borrow more, increasing the money supply, while a higher CBR discourages borrowing and reduces the money supply.

✓ **Commercial Banks' Lending Policies:** Commercial banks play a crucial role in creating money through lending. When banks make loans, they create new deposit accounts, thus increasing the money supply (this is known as the multiplier effect). Factors influencing their lending include:

- **Demand for Loans:** Higher demand for loans from individuals and businesses will lead banks to lend more, increasing the money supply.
- **Profitability:** Banks are more likely to lend when they perceive lending to be profitable (i.e., when interest rates are favorable and the risk of default is low).
- **Capital Adequacy Ratios:** Regulations require banks to maintain a certain level of capital relative to their assets. This can limit their ability to lend.

✓ **Government Policies:** Government fiscal policies (related to spending and taxation) can indirectly affect the money supply. For example, increased government spending can inject money into the economy.

✓ **International Flows of Money:** In an open economy like Kenya, the inflow and outflow of foreign currency can impact the domestic money supply. For example, increased exports can lead to an inflow of foreign currency, which, when exchanged for local currency, can increase the money supply.

✓ **Public's Desire to Hold Currency vs. Deposits:** The public's preference for holding cash versus keeping money in bank accounts can influence the effective money supply. If people prefer to hold more cash, it reduces the amount of money available for banks to lend.

(e) Evaluating Ethical and Unethical Practices on the Use of Money in Financial Transactions

Ethical practices in the use of money promote:

- fairness, trust transparency,
- accountability integrity in
- financial transactions,
- Contributing to a stable and trustworthy economic environment.
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- Unethical practices, on the other hand, can lead to

- financial instability,

LIST OF GRADE 10 SENIOR SCHOOLS MATERIALS AVAILABLE:

1	TEACHING/LEARNING NOTES
2	KICD APPROVED TEXTBOOKS
3	KICD APPROVED TEACHER GUIDES
4	REVISION BOOKS
5	SCHEMES OF WORK
6	LESSON PLANS
7	KICD APPROVED CURRICULUM DESIGNS
8	RECORD OF WORK
9	EXAMINATIONS & ASSESSMENT MATERIALS
10	APPROVED PRACTICAL BOOKS & PRACTICAL MATERIALS
12.	APPROVED LITERATURE & FASIHI BOOKS & ALL RELATED MATERIALS